

TRAINING DOCUMENT · SKILLCLOUD ACADEMY

All names, data, and circumstances are fictional. For educational use only.

STATEWIDE BUYER AND SELLER ADVISORY

Reference: C.A.R. Form SA — Seller Portion (Training Summary)

1. PROPERTY & PARTIES

Date Prepared:	September 24, 2025
Property Address:	4827 Rolando Blvd, San Diego, CA 92115
APN:	470-362-18-00
Seller(s):	Daniel Herrera and Carmen Herrera (Joint Tenants, Husband and Wife)
Listing Agent:	Sofia Reyes (DRE #02156789) · Phone: (619) 555-0312
Listing Brokerage:	Berkshire Hathaway HomeServices California Properties (DRE #01317331)

2. GENERAL ADVISORY

This advisory provides Seller(s) with a general overview of the real estate selling process in California. It is intended as informational guidance only and does not constitute legal, tax, or financial advice. Seller(s) are encouraged to consult with appropriate professionals regarding their specific circumstances.

Important: Real estate transactions involve complex legal documents, significant financial decisions, and strict contractual timelines. Seller(s) should carefully review all documents before signing and promptly communicate any questions or concerns to their Listing Agent.

3. SELLER DISCLOSURE OBLIGATIONS

Under California law, Seller(s) have a duty to disclose all known material facts about the property that could affect its value or desirability. Key disclosure requirements include:

- ☒ **Transfer Disclosure Statement (TDS):** Disclose known defects, repairs, and property conditions.

☒ **Natural Hazard Disclosure (NHD):** Third-party report on natural hazard zones.

☒ **Smoke Detector / CO Detector Compliance:** Must be in compliance at close of escrow.
- ☒ **Seller Property Questionnaire (SPQ):** Provide supplemental information about the property's history.

☒ **Lead-Based Paint Disclosure:** Required for pre-1978 homes (this property built 1961).

☒ **Water Heater Bracing:** Statement of compliance required.

Failure to disclose known material facts can result in legal liability after the sale. When in doubt, disclose.

4. ESCROW PROCESS TIMELINE

Once an offer is accepted, the transaction typically proceeds through the following phases:

Phase	Typical Timeframe	Key Activities
Opening Escrow	Days 1–3	Earnest money deposit, escrow instructions, title order
Inspections & Disclosures	Days 1–17	Buyer inspections, seller disclosures delivered, NHD report
Appraisal	Days 10–21	Lender-ordered appraisal, appraisal review
Loan Approval	Days 17–25	Buyer's loan conditions cleared, final underwriting
Contingency Removals	Days 17–21	Buyer removes inspection, appraisal, and loan contingencies
Closing & Recording	Days 25–30	Final walkthrough, signing, funding, deed recording

Note: Timelines are approximate and may vary based on terms negotiated in the purchase agreement.

5. PROPERTY CONDITION RESPONSIBILITIES

Seller(s) should maintain the property in its current condition through the close of escrow. Seller(s) are responsible for:

- ☒ Maintaining all systems, appliances, and fixtures in working order.
- ☒ Keeping landscaping and grounds reasonably maintained.
- ☒ Not making material alterations without buyer's written consent.
- ☒ Providing access for inspections and appraisal as scheduled.

6. REPAIRS AND CREDITS

Following buyer inspections, the buyer may submit a Request for Repair (C.A.R. Form RR). Seller(s) should be aware:

- a)** Seller is not obligated to agree to all repair requests. Repairs are negotiable between the parties.
- b)** Seller may offer to make repairs, provide a credit toward buyer's closing costs, or reduce the purchase price in lieu of repairs.
- c)** All repairs performed by Seller should be completed by licensed and insured contractors, with receipts and permits provided to the buyer.
- d)** Seller should not attempt to conceal or cosmetically cover up known defects.

7. CLOSING COSTS OVERVIEW

The following are typical closing costs that Seller(s) may be responsible for in a San Diego County transaction:

Cost Item	Typical Amount / Rate
Brokerage Commission	5.0% of gross sale price (per listing agreement)
Escrow Fee (Seller's portion)	Approximately \$1.50–\$2.00 per \$1,000 of sale price
Owner's Title Insurance Policy	Based on sale price (customary for seller to pay in San Diego County)
Transfer Tax (County)	\$1.10 per \$1,000 of sale price
Natural Hazard Disclosure (NHD) Report	\$75–\$150
HOA Document Fees	N/A (no HOA)
Termite / Pest Inspection (Section 1)	Negotiable; typically \$150–\$300 for inspection

Home Warranty (if offered)

\$400–\$700

8. TAX IMPLICATIONS

The sale of real property may trigger tax obligations. Seller(s) should consult with a tax professional regarding:

Capital Gains Tax: If the property has appreciated in value, Seller(s) may owe federal and/or California capital gains tax on the profit. Under current IRS rules, individuals may exclude up to \$250,000 of gain (\$500,000 for married couples filing jointly) if the property was used as a primary residence for at least 2 of the last 5 years.

1099-S Reporting: The escrow company will issue IRS Form 1099-S to report the gross proceeds from the sale. This form is filed with the IRS and must be reported on Seller's tax return.

California Withholding: California may require withholding of 3.33% of the gross sale price unless an exemption applies (e.g., the property is a primary residence and the sale price is under \$750,000, or the gain does not exceed the capital gains exclusion).

9. ACKNOWLEDGMENT & SIGNATURES

By signing below, Seller(s) acknowledge that they have received, read, and understand the advisory information provided in this document.

Daniel Herrera

Seller: Daniel Herrera · Date: 09/24/2025

Carmen Herrera

Seller: Carmen Herrera · Date: 09/24/2025

4827 Rolando Blvd, San Diego, CA 92115 · Escrow #CTT-2025-07421
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